



First Quarter 2012 Earnings Call

Overview

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Linda Huber, Executive Vice President and Chief Financial Officer

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Raymond McDaniel, President and Chief Executive Officer

4. 2012 Outlook

Raymond McDaniel, President and Chief Executive Officer

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Raymond McDaniel, President and Chief Executive Officer

Linda Huber, Executive Vice President and Chief Financial Officer

Michel Madelain, President and Chief Operating Officer, Moody's Investors Service

Mark Almeida, President, Moody's Analytics

1. First Quarter 2012 Results

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

First Quarter 2012 Results and Comparison to First Quarter 2011

Moody's Corporation

- » Revenue  12% to \$647 million
- » Operating Income  8% to \$269 million
- » Reported EPS  13% to \$0.76

2. Financial and Operating Highlights

LINDA HUBER

EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Moody's Corporation Revenue

- First Quarter 2012 Earnings Call, April 26, 2012 8

First Quarter 2012 Results and Comparison to First Quarter 2011

MIS Revenue by Geography

- | | |
|-------------|------------------------|
| » Total MIS | ↑ 10% to \$453 million |
| » U.S. | ↑ 13% to \$259 million |
| » Non-U.S. | ↑ 6% to \$194 million |
| | • 43% of Total MIS |

First Quarter 2012 Results and Comparison to First Quarter 2011

MIS Revenue by Line of Business

» Corporate Finance: \$201 million

- Global ↑ 10%
- U.S. ↑ 8%
- Non-U.S. ↑ 15%

» Structured Finance: \$94 million

- Global ↑ 5%
- U.S. ↑ 15%
- Non-U.S. ↓ 2%

First Quarter 2012 Results and Comparison to First Quarter 2011

MIS Revenue by Line of Business

» Financial Institutions: \$79 million

- Global ↑ 2%
- U.S. ↔ flat
- Non-U.S. ↑ 4%

» Public, Project & Infrastructure Finance: \$79 million

- Global ↑ 23%
- U.S. ↑ 37%
- Non-U.S. ↑ 4%

First Quarter 2012 Results and Comparison to First Quarter 2011

MA Revenue by Geography

- » Total MA ↑ 18% to \$194 million

- » U.S. ↑ 19% to \$85 million

- » Non-U.S. ↑ 17% to \$109 million
 - 56% of Total MA

First Quarter 2012 Results and Comparison to First Quarter 2011

MA Revenue by Line of Business

- » Research, Data and Analytics ↑ 9% to \$120 million
- » Enterprise Risk Solutions ↑ 11% to \$48 million
- » Professional Services ↑ 126% to \$27 million

First Quarter 2012 Results and Comparison to First Quarter 2011

Moody's Corporation

- » Total expenses ↑ 16% to \$378 million

- » Operating margin • 41.6%
 - 43.3% in 1Q11

- » Effective tax rate • 32.1%
 - Down from 33.2% in 1Q11, primarily due to benefits derived from international tax initiatives and tax audit settlements, partially offset by miscellaneous discrete items

Capital Allocation and Balance Sheet

- » During 1Q12 did not repurchase any shares but issued 2.6 million shares under employee stock-based compensation plans
- » Actual shares outstanding totaled 225 million at March 31, 2012
 - Decreased 1% from March 31, 2011
- » \$0.9 billion of share repurchase authority remaining as of March 31, 2012
- » Moody's expects approximately \$200 million of share repurchase over the course of 2012, subject to available cash flow, market conditions, and other, ongoing capital allocation decisions
- » At March 31, 2012, Moody's had:
 - \$1.2 billion of outstanding debt
 - \$1.0 billion of additional debt capacity under credit facility (new facility entered into 4/18/12 for 5-year term)
 - Cash and cash equivalents of \$815 million, approximately 80% of which were maintained outside the U.S.

3. Regulatory Developments

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Regulatory Developments

United States: *(the following developments are related to the Dodd-Frank Act)*

- SEC is expected to adopt final rules relevant to NRSROs by year-end 2012
- SEC study about the feasibility of establishing an alternative system for allocating credit rating assignments for structured finance products is expected to be completed by year-end 2012

European Union:

- Transfer of oversight of registered credit rating agencies to ESMA became effective in July 2011
- Moody's received its EU registration by ESMA in October 2011
- ESMA published its first inspection report in March 2012 and did not identify any breaches of the current regulations by Moody's
- European Commission formally proposed new rules for the rating agency industry (CRA3) in November 2011; these rules are subject to review, modification and approval by the European Parliament and the Council of European Finance Ministers

4. 2012 Outlook

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

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- | | |
|--------------------------|--|
| » MCO Revenue | ↑ low-double-digit % range |
| » MCO Expenses | ↑ low-double-digit % range |
| » MCO Operating Margin | • approximately 39% |
| » MCO Effective Tax Rate | • approximately 33% |
| » MCO EPS | • \$2.62 - \$2.72 (expect to be toward the upper end of the range) |
| » Share Repurchase | • approximately \$200 million (subject to available cash flow, market conditions, and other, ongoing capital allocation decisions) |

Refer to “Moody’s Corporation Reports Results for First Quarter 2012” press release for a full review of guidance

MIS 2012 Full-Year Revenue Outlook

MIS

- » Global ↑ mid- to high-single-digit % range
- » U.S. ↑ low-double-digit % range
- » Non-U.S. ↑ low-single-digit % range
- » Corporate Finance ↑ low-double-digit % range
- » Structured Finance ↔ flat to slightly up
- » Financial Institutions ↔ flat to slightly up
- » Public, Project & Infrastructure ↑ mid-teens % range

Refer to “Moody’s Corporation Reports Results for First Quarter 2012” press release for a full review of guidance

MA 2012 Full-Year Revenue Outlook

MA

- | | |
|------------------------------|----------------------------|
| » Global | ↑ high-teens % range |
| » U.S. | ↑ high-teens % range |
| » Non-U.S. | ↑ high-teens % range |
| » Research, Data & Analytics | ↑ mid-single-digit % range |
| » Enterprise Risk Solutions | ↑ low 20's % range |
| » Professional Services | ↑ approximately 80% |

Refer to “Moody’s Corporation Reports Results for First Quarter 2012” press release for a full review of guidance

5. Q&A Session

- » Raymond McDaniel

President and CEO, Moody's Corporation

- » Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

- » Michel Madelain

President and Chief Operating Officer, Moody's Investors Service

- » Mark Almeida

President, Moody's Analytics

Replay Details

» Available from 3:30pm (Eastern Time) April 26, 2012 until 11:59pm (Eastern Time) May 25, 2012

» Telephone Details:

- U.S. 1-888-203-1112
- Non-U.S. +1-719-457-0820
- Passcode 3921834

» Webcast Details:

- Go to <http://ir.moodys.com>
- Click on “Events & Presentations” featured on the left
- Click on the link for “Q1 2012 Earnings Conference Call”

Appendix

Consolidated Statements of Operations

(Unaudited)

	Three Months Ended March 31,	
	2012	2011
<i>Amounts in millions, except per share amounts</i>		
Revenue	\$ 646.8	\$ 577.1
Expenses:		
Operating	185.5	160.8
Selling, general and administrative	168.8	148.5
Depreciation and amortization	23.5	17.7
Total expenses	377.8	327.0
Operating income	269.0	250.1
Non-operating (expense) income, net		
Interest (expense) income, net	(10.3)	(18.2)
Other non-operating (expense) income, net	(0.1)	3.3
Total	(10.4)	(14.9)
Income before provision for income taxes	258.6	235.2
Provision for income taxes	83.1	78.1
Net income	175.5	157.1
Less: net income attributable to noncontrolling interests	2.0	1.6
Net income attributable to Moody's Corporation	\$ 173.5	\$ 155.5
Earnings per share attributable to Moody's common shareholders		
Basic	\$ 0.78	\$ 0.68
Diluted	\$ 0.76	\$ 0.67
Weighted average number of shares outstanding		
Basic	223.4	228.9
Diluted	227.4	231.4

Supplemental Revenue Information

(Unaudited)

<i>Amounts in millions</i>	Three Months Ended March 31,	
	2012	2011
Moody's Investors Service		
Corporate Finance	\$ 200.5	\$ 181.8
Structured Finance	94.3	89.4
Financial Institutions	78.8	76.9
Public, Project and Infrastructure Finance	79.1	64.5
Intersegment royalty	17.1	16.0
Sub-total MIS	469.8	428.6
Eliminations	(17.1)	(16.0)
Total MIS revenue	452.7	412.6
Moody's Analytics		
Research, Data and Analytics	119.5	109.6
Enterprise Risk Solutions	48.1	43.2
Professional Services	26.5	11.7
Intersegment revenue	3.0	2.6
Sub-total MA	197.1	167.1
Eliminations	(3.0)	(2.6)
Total MA revenue	194.1	164.5
Total Moody's Corporation revenue	\$ 646.8	\$ 577.1
Moody's Corporation revenue by geographic area		
United States	\$ 344.0	\$ 301.4
International	302.8	275.7
	\$ 646.8	\$ 577.1

Consolidated Interest (Expense) Income, Net (Unaudited)

	Three Months Ended March 31,	
	2012	2011
<i>Amounts in millions</i>		
Interest (expense) / income:		
Expense on borrowings	\$ (16.4)	\$ (16.4)
Income	1.3	1.0
UTPs and other tax related liabilities	5.0	(3.6)
Interest capitalized	(0.2)	0.8
Total interest (expense) income, net	\$ (10.3)	\$ (18.2)

Selected Consolidated Balance Sheet Data (Unaudited)

	March 31, 2012	December 31, 2011
<i>Amounts in millions</i>		
Cash and cash equivalents	\$ 814.7	\$ 760.0
Short-term investments	13.3	14.8
Total current assets	1,526.6	1,424.4
Non-current assets	1,467.8	1,451.7
Total assets	2,994.4	2,876.1
Total current liabilities	1,011.5	1,134.0
Total debt ⁽¹⁾	1,236.8	1,243.8
Other long-term liabilities	684.9	667.5
Total shareholders' equity (deficit)	91.2	(158.4)
Redeemable noncontrolling interest*	69.4	60.5
Total liabilities, redeemable noncontrolling interest and shareholders' equity (deficit)	2,994.4	2,876.1
Actual number of shares outstanding	224.7	222.4

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

	March 31, 2012	December 31, 2011
⁽¹⁾ Total debt consists of the following:		
Series 2005-1 Notes due 2015 ^(a)	308.2	311.5
Series 2007-1 Notes due 2017	300.0	300.0
2008 Term Loan due 2013 ^(b)	131.3	135.0
2010 Senior Notes due 2020 ^(c)	497.3	497.3
Total debt ^(d)	\$ 1,236.8	\$ 1,243.8

^(a) Includes an \$8.2 million and \$11.5 million fair value adjustment on an interest rate hedge at March 31, 2012 and December 31, 2011, respectively.

^(b) Various payments through 2013.

^(c) Represents \$500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount.

^(d) Of the total debt shown in the table above, \$99.4 million and \$71.3 million are classified within total current liabilities at March 31, 2012 and December 31, 2011, respectively, and consist of the current portion of borrowings under the 2008 Term Loan.

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